



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Six Months Ended 30 September 2022

ORIENT FINANCE PLC
STATEMENT OF COMPREHENSIVE INCOME

For the

	03 Months Ended 30th September		06 Months Ended 30th September	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	950,381,667	701,766,070	1,760,190,711	1,340,274,322
Interest income	909,548,542	656,899,221	1,681,378,856	1,253,329,527
Interest expenses	(657,921,667)	(268,805,299)	(1,081,066,365)	(535,686,073)
Net interest income	251,626,875	388,093,922	600,312,491	717,643,454
Fee and commission income	26,957,373	27,315,368	44,511,711	48,841,408
Other operating income	13,875,751	70,209,118	34,300,144	90,761,024
Total operating income	292,460,000	485,618,408	679,124,346	857,245,886
Impairment charges for loans and receivables to customers	(72,493,859)	(44,593,607)	(87,537,793)	(79,803,495)
Net operating income	219,966,141	441,024,801	591,586,553	777,442,391
Operating expenses				
Personnel expenses	(178,719,016)	(116,089,654)	(330,017,348)	(228,692,179)
Depreciation and amortization	(30,530,480)	(14,089,201)	(46,940,367)	(27,585,871)
Other operating expenses	(52,160,260)	(134,292,595)	(168,103,068)	(267,563,457)
Operating profit/(loss) before tax on financial services	(41,443,615)	176,553,350	46,525,770	253,600,884
Tax on financial services	0	(28,739,001)	(21,559,905)	(45,907,834)
Profit /(loss) before income tax	(41,443,615)	147,814,349	24,965,865	207,693,050
Income tax expense	(4,650,157)	(7,092,201)	(4,650,157)	(7,092,201)
Profit/(loss) for the period	(46,093,772)	140,722,148	20,315,708	200,600,849
Other comprehensive income/(expenses)				
Other comprehensive income to be re - classified to profit or loss in subsequent periods				
Fair value gain/(loss) on investment in quoted shares	8,952,419	4,120,744	(1,887,714)	8,033,151
Total comprehensive income/(expenses) for the period net of tax	(37,141,353)	144,842,892	18,427,994	208,634,000
Earnings Per Share (Rs.)	(0.22)	0.69	0.10	0.99

Figures in brackets indicate deductions.

Colombo
14th November 2022

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At

	30th September 2022	31st March 2022
	Rs.	Rs.
ASSETS	Unaudited	Audited
Cash and cash equivalents	219,795,621	296,439,735
Financial assets - fair value through other comprehensive income	746,713,326	725,704,749
Loans and receivables to customers	13,388,035,048	14,125,811,999
Investments with banks and other financial institutions	90,263,073	242,460,738
Other assets	463,319,903	255,411,953
Real estate stock	10,271,618	9,338,093
Deferred tax asset	371,600,809	371,600,809
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	34,093,848	37,899,935
Property, plant and equipment	81,407,492	84,505,805
Right of use assets	162,515,746	115,496,075
Investment properties	670,716,463	662,150,002
Total assets	17,039,158,693	17,727,245,639
LIABILITIES		
Due to banks - bank overdrafts	720,590,001	680,571,641
Deposits from customers	9,457,864,815	9,204,263,013
Interest bearing borrowings	3,177,487,651	3,874,859,251
Right-of-use Liability	116,801,121	76,660,167
Other liabilities	161,908,908	514,908,252
Retirement benefit obligations	54,198,867	44,103,980
Total liability	13,688,851,363	14,395,366,304
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	401,570,770	383,142,776
Total equity	3,350,307,330	3,331,879,335
Total equity and liabilities	17,039,158,693	17,727,245,639
Net assets per share	15.87	15.78

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd
Mr. Manjula Tennakoon
Chief Financial Officer

Sgd
Mr. K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd
Mr. Rajendra Theagarajah
Chairman

Sgd
Mr. Prakash Schaffter
Director

Colombo
14th November 2022

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the six months	-	-	-	200,600,849	200,600,849
Other comprehensive income (expense) net of taxes				8,033,151	8,033,151
Balance as at 30th September 2021	<u>2,431,879,039</u>	<u>330,437,030</u>	<u>141,120,773</u>	<u>192,127,168</u>	<u>3,095,564,010</u>
Balance as at 01st April, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/(Loss) for the six months	-	-	-	20,315,708	20,315,708
Other comprehensive income (expense) net of taxes				(1,887,714)	(1,887,714)
Balance as at 30th September 2022	<u>2,431,879,039</u>	<u>375,736,747</u>	<u>141,120,773</u>	<u>401,570,770</u>	<u>3,350,307,330</u>

Figures in brackets indicate deductions.

Colombo
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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 30th September

	2022	2021
	Rs.	Rs.
	Unaudited	Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	24,965,865	207,693,050
Adjustment for:		
Depreciation/amortization	46,940,367	27,585,871
Loss on disposal of property, plant and equipment	(113,350)	(157,188)
Impairment charges for loans and receivables to customers	87,537,793	27,145,858
Finance expenses	1,081,066,365	535,686,073
Investment income	(68,491,306)	(30,453,610)
Provision for gratuity	10,775,967	10,110,000
Operating profit/(Loss) before working capital changes	1,182,681,701	777,610,053
Change in loans and receivables to customers	650,239,158	(618,239,917)
Change in other assets	(207,907,950)	(99,287,680)
Change in deposits from customers	174,253,908	119,063,918
Change in other liabilities	(353,768,099)	143,442,264
	1,445,498,718	322,588,637
Rent Paid	(39,802,489)	(42,216,224)
Interest paid	(619,150,396)	(401,294,495)
Gratuity paid	(681,080)	(788,471)
Net cash from/(used in) operating activities	785,864,753	(121,710,553)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(25,675,821)	3,029,150
Proceeds from sale of property, plant and equipment	113,350	0
Expenses incurred for real estate stock	(933,525)	0
Net change in available for sale financial assets	(22,896,291)	(30,588,771)
Net change in investments with bank and other financial institutions	149,772,432	(206,588,662)
Investment income received	18,703,615	30,453,610
Net cash generated from/(used in) investing activities	119,083,760	(203,694,674)
Cash flows from financing activities		
Interest bearing borrowings obtained	823,133,332	2,315,000,000
Repayment of interest bearing borrowings	(1,425,206,454)	(2,222,831,543)
Interest Paid on Borrowings	(419,537,865)	(145,168,125)
Net cash generated from/(used in) financing activities	(1,021,610,987)	(52,999,668)
Net change in cash and cash equivalents	(116,662,474)	(378,404,894)
Cash and cash equivalents at the beginning of the Period	(384,131,906)	145,981,051
Cash and cash equivalents at the end of the Period (Note A)	(500,794,380)	(232,423,844)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	154,502,458	246,789,890
Cash at bank	65,293,163	149,451,543
Bank overdrafts - secured	(720,590,001)	(628,665,277)
	(500,794,380)	(232,423,844)

Figures in brackets indicate deductions.

Colombo
14th November 2022

ORIENT FINANCE PLC

FINANCIAL REPORTING BY SEGMENTS

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th September	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Interest income	1,025,888,302	915,411,104	79,985,959	74,252,906	1,527,540	2,355,066	505,485,750	230,856,841	68,491,305	30,453,610	1,681,378,856	1,253,329,527
Fee and commission income	43,902,514	31,127,282	-	-	609,197	2,210,158	-	-	(0)	15,503,968	44,511,711	48,841,408
Other income	23,544,963	32,717,399	-	-	-	-	-	-	10,755,181	5,385,988	34,300,144	90,761,024
Total segmental income	1,093,335,780	979,255,784	79,985,959	74,252,906	2,136,737	4,565,224	505,485,750	230,856,841	79,246,486	51,343,567	1,760,190,711	1,392,931,960
Less: Interest expense	(671,500,270)	(391,392,775)	(49,125,433)	(29,677,691)	(1,312,331)	(1,824,647)	(310,457,065)	(92,269,764)	(48,671,266)	(20,521,197)	(1,081,066,365)	(535,686,073)
Segmental results	421,835,510	587,863,009	30,860,527	44,575,214	824,406	2,740,578	195,028,685	138,587,078	30,575,220	30,822,370	679,124,346	857,245,886
Depreciation and amortization	(29,156,831)	(20,155,294)	(2,133,048)	(1,528,292)	(56,982)	(93,963)	(13,480,180)	(4,751,555)	(2,113,327)	(1,056,766)	(46,940,367)	(27,585,871)
Impairment charge	(84,276,517)	(24,908,733)	3,445,420	(2,237,125)	(6,195,989)	-	(510,706)	-	-	-	(87,537,793)	(79,803,495)
Other Expenses	(309,405,605)	(362,583,386)	(22,635,410)	(27,493,195)	(604,680)	(1,690,339)	(143,048,574)	(85,478,030)	(22,426,145)	(19,010,686)	(498,120,416)	(496,255,637)
Value Added Tax and NBT on financial services	(16,280,280)	(33,542,023)	(1,191,028)	(2,543,353)	(31,817)	(156,371)	(7,526,920)	(7,907,439)	-	(1,758,649)	(21,559,905)	(45,907,834)
Income tax	-	(4,609,931)	-	(709,220)	-	-	-	(1,773,050)	(4,650,157)	-	(4,650,157)	(7,092,201)
Profit/(loss) after tax	(17,283,724)	146,673,573	8,346,460	10,773,250	(6,065,062)	799,905	30,462,305	40,450,054	4,855,730	8,996,268	20,315,708	200,600,849
Segmental assets	8,838,291,317	9,135,257,000	988,757,882	1,279,322,000	110,860,362	145,260,646	4,256,011,223	2,742,001,000	2,844,469,154	2,681,127,110	17,039,158,693	15,930,310,118
Segmental liabilities	7,100,392,825	7,365,950,246	794,335,592	1,031,544,290	89,061,572	117,126,720	3,419,139,568	2,210,933,194	2,285,153,052	2,161,849,294	13,688,851,363	12,834,746,107

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2022. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2022.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

	30-Sep-22	30-Sep-21
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155

Share Price During the Period

For the Quarter Ended

		30-Sep-22	30-Sep-21
Highest	(Rs)	11.80	16.40
Lowest	(Rs)	7.00	13.00
Closing	(Rs)	8.10	14.30

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS**

Shareholders as at 30 September 2022			
	Name	No. of Shares	%
1	Janashakthi Ltd	95,455,437	45.22
2	Seylan Bank PLC/Janashakthi PLC (collateral)	90,000,000	42.63
3	Commercial Bank of Ceylon PLC/Janashakthi Limited	10,555,057	5.00
4	Access Engineering PLC	2,668,484	1.26
5	First Capital PLC	2,138,299	1.01
6	Mr.A.Rajaratnam	704,183	0.33
7	DFCC Bank PLC/G.A.C. De Silva	600,000	0.28
8	Mr.P.Ramachandran	500,000	0.24
9	Mr.R.A.B.K. Kumara	500,000	0.24
10	Seylan Bank PLC/Imiya Pathirannehalage Indrani Lalitha Gunathilaka	406,750	0.19
11	LOLC Finance PLC/V.S.Rajasooriyar	375,000	0.18
12	Mr.L.P.Mendis	358,695	0.17
13	Commercial Credit and Finance PLC	330,000	0.16
14	Hatton National Bank PLC/Koralagodage Don Sahan Rachira Kulatunga & Mrs.Oshadhini Upulika Kumari Jayasundara	282,462	0.13
15	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
16	Mrs.V. Saraswathi	238,580	0.11
17	Mr.M.K. De Livera	207,629	0.10
18	Seylan Bank PLC/Mohamed Mushtaq Fuad	200,000	0.09
19	MR. V.S. Rajasooriyar	150,050	0.07
20	Miss H.M.D.A. Wijayawardena	147,850	0.07
21	MR. K.D.A. Weerasinghe	133,400	0.06
22	MR. W.S.A.R. Fernando	122,981	0.06
	Others	4,779,412	2.26
	Total	211,101,155	100

Directors' Shareholding as at 30th September 2022			
	Name of the Director	No. of Shares	%
1	Mr. Prakash Anand Schaffter	10	-
2	Mr. Rajendra Theagarajah	-	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Nawalage Sriyan Suresh cooray	-	-
6	Mr. Kather Meerasahim Mohamed Jabir	-	-
7	Mr. R. M. Darshana Joseph Ratnayake	-	-
8	Mr. Nalin Karunaratne	-	-
	Total	10	

CEO's Shareholding as at 30 September 2022

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30 September 2022

Number of Public Shareholders	12,952,342
Public Shareholding Percentage	852
Float Adjusted market capitalization (Rs)	6.14%
	104,989,048

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.